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KSE-100 V

174,777

▼ 0.96% Wed ·
-1,690 pts

S&P 500 V

▲ 0.46%

Nasdaq +0.45% ·
Dow +0.56%

US 10Y / 2Y V

4.79 / 4.37

hike odds ~66% ·
yields pause

BRENT / WTI V

\$94.9 / \$90.7

fresh US strikes
near Hormuz

GOLD V

\$4,336

+0.2% · silver
\$63.87

USD/PKR V

277.55

interbank · little
changed

01 Five Things You Need To Know To Start Your Day

KSE-100 SHEDS 1,690 POINTS TO 174,777 AS BANKS, E&P AND CEMENT SELL OFF

The benchmark tumbled 1,690.40 points (0.96%) to close at **174,776.60** on Wednesday, down from Tuesday's 176,466.99, after swinging between an intraday high of 175,841.83 and a low of 174,562.88. Ready-market volume fell to 610.18 million shares worth Rs31.86bn across 501 companies traded, with breadth sharply negative at 113 advancers vs 356 decliners (32 unchanged). Meezan Bank, United Bank, Pakistan Petroleum and Fauji Fertiliser collectively dragged the index down roughly 604 points, with commercial banks, cement and E&P names — also including Lucky Cement, OGDC and Habib Bank — bearing the brunt of the sell-off; Engro Fertiliser, Thal and Askari Bank offered limited support (+139 points combined). Cnergyico PK led volumes with 124.89 million shares traded. Sources: [Business Recorder](#), [ARY News](#). Sentiment: **risk-off, breadth deteriorating sharply**.

US LAUNCHES FRESH STRIKES ON IRAN NEAR STRAIT OF HORMUZ; WEDDING STRIKE KILLS FIVE

US forces struck Islamic Revolutionary Guard Corps targets in Iran — including air-defence sites, radar systems and maritime assets — at 1600 GMT on Wednesday, reigniting the six-month conflict after a weekend exchange of fire and Monday's tanker strikes near the Strait of Hormuz. One US strike hit a home hosting a wedding, killing five and wounding dozens, according to local officials, while Tehran fired missiles and drones at regional sites in response. President Trump has separately vowed further action against Iran over the retaliation, even as roughly 17 million barrels of crude continued to transit Hormuz on Monday, suggesting Tehran does not yet control the waterway. Sources: [NPR](#), [Gulf News](#). Sentiment: **escalating, Hormuz risk elevated**.

WALL STREET SNAPS THREE-DAY LOSING STREAK AS TREASURY YIELDS PAUSE NEAR 4.79%

The **S&P 500** rose 0.46% to 7,666.60, the **Dow** added 295 points (0.56%) to 53,061.95 and the **Nasdaq** gained 0.45% to 26,217.83 on Wednesday, snapping a three-day losing streak as the 10-year Treasury yield held near **4.79%** — its highest since 2023 but no longer climbing — with the 2-year around 4.37%. CME FedWatch continued to price roughly **66% odds** of a September 16 rate hike, little changed from the prior session, even as New York Fed President John Williams said there were “no clear signs right now” that a hike was necessary. Equities largely looked through the fresh Iran strikes reported mid-session, with cyclicals outpacing tech. Sources: [Yahoo Finance](#), [TheStreet](#). Sentiment: **resilient, yields plateauing**.

GOLD STEADIES NEAR FOUR-WEEK LOW, SILVER SOFT AS RATE-HIKE BETS HOLD FIRM

Spot gold traded around **\$4,336/oz**, up \$7.79 (0.18%) on the day, clawing back a sliver of Tuesday's steep loss as bargain buyers met a market still repricing Fed policy after Jackson Hole. Silver slipped further to **\$63.87/oz**, down \$0.22 (0.35%), widening the gold/silver ratio to 67.9 as the metal continued to lag gold. Traders said the correction is "measured in dollars of yield, not ounces of demand," with roughly 66–70% odds of a September Fed hike still capping the haven bid despite the widening Gulf conflict. Sources: [USAGOLD](#), [Rio Times](#). Sentiment: stabilizing, rates still dominant.

GCC: SAUDI, UAE NON-OIL PMIS HIT MULTI-MONTH HIGHS EVEN AS OPEC+ OUTPUT ROLLBACK COMPLETES

Saudi Arabia's Riyadh Bank PMI climbed to **53.8 in August** (from 53.1 in July) — a six-month high and fifth straight expansionary month — with output growing at its fastest pace in seven months, though export orders fell sharply amid regional tensions. The UAE's S&P Global non-oil PMI jumped to **55.3 in August** (from 52.7 in July), the sharpest improvement since December 2024, driven by a surge in new business and a return to export growth. The resilience comes as OPEC+'s seven active members completed their planned **188,000 bpd September output increase** on 2 August, unwinding roughly 1.65 million bpd of 2023's voluntary cuts, with quotas expected to hold into the fourth quarter pending market conditions — even as fresh US-Iran strikes near Hormuz on Wednesday underscore the risk to that momentum. Sources: [Arab News](#), [CNBC](#). Sentiment: **resilient non-oil momentum, war overhang persists**.

02 Regional Market & Economic Matrix

A. Local Market — Pakistan Focus

The KSE-100 tumbled 1,690.40 points (0.96%) to close at **174,776.60** on Wednesday, its steepest single-day drop this week, on ready-market volume of 610.18 million shares worth Rs31.86bn with breadth sharply negative (113 advancers vs 356 decliners of 501 traded). Commercial banks, cement and E&P names led the rout — Meezan Bank, United Bank, Pakistan Petroleum, Fauji Fertiliser, Lucky Cement, OGDC and Habib Bank — as fresh US strikes on Iran near the Strait of Hormuz stoked fears over Pakistan's import bill, with only Engro Fertiliser, Thal and Askari Bank offering support. Pakistan's **CPI inflation is running near 11% y/y in August** on higher food and fuel costs, and the SBP is widely expected to hold its policy rate at **11.5%** at the 14 September MPC; six-month **KIBOR** stood near 12.6%, and USD/PKR interbank was little changed around **277.55** (bid 277.45/offer 277.65). Pakistan and the IMF are set to open the **4th EFF and 3rd RSF reviews in September**, with the mission expected to scrutinise the Sovereign Wealth Fund (Amendment) Bill 2026 — still before the Senate Standing Committee on Finance, which has sought a clause-by-clause justification before proceeding — alongside the government's economic governance reform agenda. Sources: [Business Recorder](#), [ProPakistani](#).

B. GCC & Middle East

Brent rose to roughly **\$94.9/bbl** and WTI held near \$90.7/bbl after US forces struck IRGC air-defence, radar and maritime assets in Iran at 1600 GMT Wednesday — the first such barrage since the weekend — with one strike killing five at a wedding and Tehran retaliating with missiles and drones at regional sites; roughly 17 million barrels of crude still transited Hormuz on Monday. OPEC+'s seven active members completed their **188,000 bpd September output increase** on 2 August, finishing the unwind of 2023's voluntary cuts, with quotas seen holding into Q4. Non-oil momentum accelerated through August: **Saudi Arabia's PMI rose to a six-month high of 53.8** while the UAE's climbed to 55.3, its sharpest improvement since December 2024 — even as Wednesday's strikes near Hormuz test that resilience heading into September data.

C. Global Intelligence

Wall Street snapped a three-day losing streak Wednesday even as the US struck Iranian targets near the Strait of Hormuz mid-session: the S&P 500 rose 0.46% to 7,666.60, the Dow added 295 points (0.56%) to 53,061.95 and the Nasdaq gained 0.45% to 26,217.83, as the 10-year Treasury yield held near **4.79%** — its highest since 2023 — without extending its climb, and the 2-year sat near 4.37%. CME FedWatch continued to price roughly **66% odds** of a hike at the 16 September FOMC meeting, with NY Fed President John Williams cautioning there were “no clear signs right now” a hike was needed. Gold steadied near a four-week low at \$4,336/oz (+0.18%) while silver slipped to \$63.87/oz (-0.35%), as rate-hike positioning continued to outweigh the haven bid from the widening Gulf conflict. Sources: [Yahoo Finance](#), [Trading Economics](#).

03 Legislative & Regulatory Tracker — Who Wins, Who Loses

Jurisdiction	Legislation / Policy Change	Affected Sector(s)	Net Impact & Strategic Outlook
Local — Pakistan	Pakistan Sovereign Wealth Fund (Amendment) Bill, 2026 remains before the Senate Standing Committee on Finance and Revenue, which has sought a clause-by-clause justification of the amendments ahead of September's IMF EFF/RSF review mission.	State-owned enterprises, SWF-held assets, IMF programme compliance	Wins: IMF governance conditionality advanced; investors seeking transparent SOE oversight and mandatory performance disclosure. Losses: SWF-held entities face continued deal-execution delays while committee review drags on.
Regional — GCC	OPEC+ completed its 188,000 bpd September output increase on 2 August, even as fresh US strikes on Iranian targets near the Strait of Hormuz reignited the conflict on Wednesday.	Oil & gas majors, Gulf shipping/insurance, non-oil private sector	Wins: OPEC+ output discipline sustained; Saudi Arabia (PMI 53.8) and UAE (PMI 55.3) non-oil sectors post multi-month highs. Losses: Gulf shipping and insurance costs rise again on renewed Hormuz strike risk; exporters face falling export orders amid regional tensions.
Global	The Fed's 16 September FOMC meeting looms with hike odds near 66% per CME FedWatch, as the 10-year Treasury yield holds near a multi-year high of 4.79% following Chair Kevin Warsh's hawkish Jackson Hole remarks.	Rate-sensitive equities, EM currencies (incl. PKR), energy majors	Wins: US dollar, savers, and cyclical equities that led Wednesday's rally as yields paused their climb. Losses: EM currencies and rate-sensitive borrowers remain exposed if the Fed follows through on a September hike.

04 The Day Ahead — KSE-100 Levels & Desk Stance

SUPPORT EST. 174,000 psychological floor near today's session low; deeper support at 173,000	PIVOT EST. 174,777 Wednesday's close	RESISTANCE EST. 175,842 Wednesday's intraday high; then 176,467 (Tuesday's close)
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We read Wednesday's 0.96% KSE-100 decline as a sharper, more broad-based risk-off move than Tuesday's 0.29% dip — breadth deteriorated to 113 advancers versus 356 decliners, and volume held up even as prices fell, suggesting genuine distribution rather than thin-market noise. The proximate trigger is a fresh escalation in the Gulf: US strikes on Iranian air-defence and maritime assets near the Strait of Hormuz pushed Brent to nearly \$95 and WTI above \$90, a direct threat to Pakistan's import bill just as August CPI runs near 11% y/y ahead of the SBP's 14 September MPC. The divergence with Wall Street — which shrugged off the same headlines to snap a three-day losing streak — tells us global investors are for now pricing the conflict as contained to the region, while local investors are pricing the energy and fiscal pass-through directly. We favour a **defensive tilt toward E&P, fertiliser and IMF-programme beneficiaries** while staying alert to further Hormuz escalation, the 14 September MPC decision, and any progress on the Sovereign Wealth Fund bill. All levels are indicative desk estimates, not recommendations.

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